STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

At a session of the Public Service Commission held in the City of Albany on January 19, 2023

COMMISSIONERS PRESENT:

Rory M. Christian, Chair
Diane X. Burman, concurring
James S. Alesi
Tracey A. Edwards
John B. Howard
David J. Valesky
John B. Maggiore

CASE 19-G-0309 - Proceeding on the Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 – Proceeding on the Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

ORDER REGARDING INCREMENTAL DEMAND-SIDE MANAGEMENT PROGRAMS

(Issued and Effective January 19, 2023)

BY THE COMMISSION:

INTRODUCTION

On July 15, 2022, The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) (collectively, the Companies or National Grid) filed their second Annual Demand Side Management Filing ("the Filing"). In the Filing, the Companies request authorization to continue to implement demand-side management (DSM) programs intended to address projected gas system capacity constraints within the Companies' Downstate New York service territories and to recover the cost of implementing certain of

those programs through a surcharge, consistent with provisions in the Companies' Rate Plan.[1]

In this Order, the Commission authorizes the Companies to collect costs associated with demand response (DR) programs through the Demand Capacity Surcharge Mechanism (DCSM). Additionally, the Commission approves the Companies' proposal to fund energy efficiency (EE) programs using previously authorized annual budgets and unspent funds, as described below. Finally, the Commission also approves the Companies' proposed methodology for calculating the EE Capacity Demand Metric.

BACKGROUND

In May 2019, National Grid issued a moratorium on new gas service connections in its Downstate service territories, citing capacity constraints that it forecasted would result in a gas supply capacity shortfall beginning in the 2022-2023 winter heating season and increasing thereafter. In October 2019, the Commission issued an Order to Show Cause to the Companies regarding their imposition of a moratorium (Moratorium Proceeding).[2]

On November 26, 2019, the Commission issued an Order adopting and approving the settlement between the Companies and Department of Public Service Staff (Staff) related to the

[1] Cases 19-G-0309 and 19-G-0310, Order Approving Joint Proposal, as Modified, and Imposing Additional Requirements (issued August 12, 2021) (Rate Order).

[2] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid, Order Instituting Proceeding and to Show Cause (issued October 11, 2019).

moratorium.[3] As part of the settlement, National Grid agreed to produce an Energy Efficiency Proposal describing plans to deliver and fund EE and DR programs, and a Long-Term Capacity Report assessing gas supply constraints in its Downstate service territories and identifying potential solutions. In February 2020, National Grid published its Natural Gas Long-Term Capacity Report for Brooklyn, Queens, Staten Island and Long Island (Original Report). In May 2020, after weighing extensive stakeholder input on the Original Report, National Grid submitted its Natural Gas Long-Term Capacity Supplemental Report (Supplemental Report) recommending a portfolio of measures to address the capacity gap while honoring the public's preference for non-infrastructure solutions and New York's climate policy goals. Known as the Distributed Infrastructure Solution, this portfolio aims to close the forecasted gap between gas supply and peak demand through a combination of targeted infrastructure projects and ambitious DSM programs scaled up from those previously authorized in the New Efficiency: New York (NE:NY) proceeding.[4]

The Rate Order directed the Companies to propose these DSM programs, with associated budgets and targets, in annual DSM Filings. The Rate Order implemented the DCSM to allow the Companies to recover costs, beginning in Rate Year Two, associated with incremental DR, EE, and the Long-Term Capital Capacity Projects until the Commission next sets the Companies' rates. For Commission-approved EE costs not already included in base rates, the Rate Order provided that the DCSM implemented in

[3] Case 19-G-0678, supra, One Commission Order Adopting and Approving Settlement (issued November 26, 2019) (Settlement Order).

[4] Case 18-M-0084, In the Matter of a Comprehensive Energy Efficiency Initiative.

Rate Year Two will enable the Companies to recover fifty percent of a forecast of incremental costs incurred in that year. For the ensuing Rate Years, the DCSM allows the Companies to recover the remaining actual costs incurred in the previous Rate Year including carrying charges, as well as fifty percent of the costs forecast to be incurred in the year in which the DCSM will be in effect. The Rate Order capped recovery of incremental EE program costs through the DCSM at the cumulative 2019-2025 budget, as adopted by the Commission in the NE:NY Proceeding, less previously recovered amounts and less the base NE:NY budget that is being recovered through base rates. The Rate Order noted that the cap may be adjusted if additional budgets are authorized in the NE:NY Interim Review.

The Rate Order also established five weighted Capacity Demand Metrics and conditioned the Companies' ability to recover costs of long-term capital projects through the DCSM on their attainment of these metrics. The five Capacity Demand Metrics relate to EE, DR, customer electrification referrals to Consolidated Edison Company of New York, Inc., consideration of third-party proposals for non-pipe alternatives (NPAs), and identification of leak-prone pipe segments for which the Company would seek to implement NPAs. The Companies are required to submit quarterly reports documenting their performance in meeting the Capacity Demand Metrics.

The Companies filed their first Annual Demand Side Management Filing on October 4, 2021.[5] On May 13, 2022, the Commission issued an Order approving the DSM programs proposed by the Companies, authorizing the recovery of non-labor costs

[5] Case 19-G-0309 and 19-G-0310, Filing of The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid for Approval of Incremental Demand-Side Management Programs (filed October 4, 2021) (2021 Annual DSM Filing).

associated with those programs through the DCSM, denying the Companies' request to recover labor costs associated with those programs through the DCSM, and modifying the Companies' proposed Capacity Demand Metric for EE.[6]

FILING

Energy Efficiency

The Commission authorized budgets and targets for the Companies' EE portfolio in the January 16, 2020 Order in the NE:NY proceeding.[7] In the Filing, the Companies discuss program offerings and the allocation of resources within their NE:NY portfolio to specifically address peak-day and peak-hour capacity concerns, in distinction to the annual-savings emphasis of the NE:NY initiative.

The Companies have identified building weatherization as a primary strategy to reduce peak demand on their gas system. In the fall of 2021, the Companies developed and launched a new weatherization program for residential customers and increased incentives for weatherization available to commercial and multifamily customers through their existing Gas Commercial and Industrial Program. The Companies note that recent inflation and supply chain issues have dampened customer interest in major construction projects and posed challenges to their weatherization programs. The Companies state that to meet these challenges, they have adjusted the programs to encourage greater customer and contractor participation and redirected employees

[6] Cases 19-G-0309 and 19-G-0310, Order Regarding Incremental Demand-Side Management Programs (issued May 13, 2022).

[7] Case 18-M-0084, supra, Order Authorizing Utility Energy Efficiency and Building Electrification Portfolios Through 2025 (issued January 16, 2020) (2020 NE:NY Order).

from other NE:NY programs to support weatherization program marketing, sales, and outreach.

Budgets and savings targets for the Companies' overall EE portfolio remain as authorized in the 2020 NE:NY Order. In the Filing, the Companies proposed budgets for 2023, within their NE:NY portfolio, of $14,655,501 for weatherization programs for KEDNY and $14,655,501 for KEDLI, and savings targets of 52,933 MMBtu for KEDNY and 43,308 MMBtu for KEDLI. These budgets would have represented an increase in the proportion of the Companies' NE:NY portfolio expenditures allocated to weatherization programs, to 32 percent and 41 percent for KEDNY and KEDLI, respectively. In a December 19, 2022 response to an interrogatory from Staff, the Companies noted an error in the Filing and revised the proposed 2023 weatherization program budgets to $15,812,061 for KEDNY and $12,937,249 for KEDLI.[8] The Companies do not propose to recover the costs of any 2023-2024 EE programs through the DCSM, but to fund those programs through existing NE:NY budgets, including previously collected and unspent funds from prior years of the NE:NY period and projected unspent funds from 2022.

The Companies note that weatherization programs are cost intensive, and that an increase in the allowable run rate ($/Dth) for EE programs year over year would allow the Companies to expand weatherization offerings and increase investments in weatherization programs for disadvantaged communities and low- and moderate-income customers. The Companies also state that they assess the cost-effectiveness of EE measures not only in terms of first-year savings, but also in terms of lifetime savings and the effective useful life of the measure, whereas NE:NY savings targets take only first-year savings into account.

[8] Response to interrogatory DPS-DSM22-01, see Appendix A.

Demand Response

The Companies' gas demand response programs for firm customers (Firm DR Programs) are aimed at reducing customer gas consumption during select peak winter days and hours with extreme cold temperatures (Event Days). The Companies seek to utilize these programs to address future gas system supply gaps. In this filing, the Companies seek approval of the recovery of funds associated with the Firm DR Programs for the 2023-2024 heating season. The proposed budgets for the 2023-2024 heating season will enable the Companies to continue operating and scale up the current Firm DR Programs.

On October 15, 2020, the Commission issued its Order Directing Implementation Plan Filing, Annual Reporting, and Tariff Modifications in Cases 20-G-0086 and 20-G-0087.[9] The DR Implementation Order directed the Companies to file an Annual DR Filing by June 15 of each year which includes a report describing the performance during the prior winter and an Implementation Plan fully describing the operations, terms, and conditions related to the Firm DR Programs.

The Companies launched a set of Firm DR Programs for the 2019-2020 and 2020-2021 winter seasons. These programs were an extension of programs developed during the 2019-2020 winter heating season as part of the Settlement Agreement and described in the Companies Implementation and Contingency Plan described in the Companies "2020-2021 Expanded Gas Demand Response Implementation Plan."[10]

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[9] Case 20-G-0086 and 20-G-0087, KEDNY and KEDLI - Gas Demand Response, Order Directing Implementation Plan Filing, Annual Reporting, and Tariff Modifications (issued October 15, 2020) (DR Implementation Order).

[10] Cases 20-G-0086 and 20-G-0087, supra, 2020-2021 Expanded Gas Demand Response Implementation Plan (filed October 2, 2020).

The Companies operate four Firm DR Programs: the Load Shedding DR Program, the Load Shifting DR Program, the Bring Your Own thermostat (BYOT) Program, and the Behavioral DR Program.[11] The Load Shedding DR Program focuses on commercial, industrial, and multi-family firm service customers capable of reducing their peak gas load over an eight-hour period on Event Days. Under this program, the Companies ask Customers to reduce gas consumption during pre-determined hours, either by shutting off non-heating gas equipment or switching to a backup non-gas heating fuel source during events. Though focused on daily load reductions, the Load Shedding DR Program event windows correspond to the typical system peak hours to ensure that the peak day load reductions occur during the gas system's most critical periods. The Load Shifting DR Program focuses on commercial, industrial, and multi-family firm service customers capable of reducing peak hours gas load over a four-hour period on Event Days. The primary goal of the Load Shifting DR Program is to provide peak hour usage reductions during the early morning hours, which is the period in which the system typically experiences the highest customer demand. To participate in the Load Shifting DR Program, participants must shift load to alternate hours prior to or following the event window and are

[11] The Load Shedding DR Program was formerly known as the "Daily DR Program" and the and the Load Shifting DR Program was formerly known as the "Hourly DR Program." The Commission recently approved updated names for these programs. See Cases 20-G-0086 and 20-G-0087, supra, Order Authorizing Tariff Amendments Regarding Demand Response Programs (issued October 13, 2022) (October 2022 DR Order).

not allowed to switch to an alternate fuel source to achieve such load relief except for use of specified Exempt Resources.[12]

The BYOT Program is a load shifting program focusing on residential and small commercial customers which uses Wi-Fi connected thermostats to remotely lower temperature set points, thus shifting peak hour gas loads on Event Days. Under the BYOT Program, customers are asked to shift part of their gas use out of peak morning or evening periods into other times of the gas day.

The Behavioral DR Program is a non-incentivized program for residential and small-commercial customers whereby KEDNY and KEDLI request that customers decrease their gas usage during peak days. The Behavioral DR Program uses e-mail messaging to notify customers of impending cold weather and suggests methods to lower gas consumption during peak hours.

The Companies' projected enrollment targets for each DR program represent a significant increase DR over the course of the next five years. The programs are scaled to meet anticipated demand on a Design Day (i.e., the coldest winter day that brings the highest daily customer demand for with the Company plans) to fill the long-term supply demand gap by targeting expected Peak Day and Peak Hour deficiencies. DR needs will vary each winter capability period depending on multiple factors such as market conditions, revised gas demand forecasts, and customer needs. The projected enrollments in the table below represent the expected scale, size of DR programs in

[12] Exempt Resources include: electricity-based technologies, including heat pumps; biodiesel/biofuel blends that contain twenty percent or more biodiesel by volume; solid biomass fuels; alcohols; hydrogen; renewable natural gas; or any combination of resources listed as a Renewable Energy System under the Climate Leadership and Community Protection Act. The October 2022 DR Order updated the blending percentage for biodiesel from 10 percent to 20 percent.

the next five years based on market conditions and previous years' performance.

DR Goals	Units	2022-2023	2023-2024	2024-2025	2025-2026	2026-2027
Load Shedding	Dth/Day Enrolled	23,754	26,724	28,728	30,164	30,918
Load Shifting	Dth/Hr Enrolled	202	223	245	257	270
BYOT	Devices Enrolled	12,500	15,000	20,000	25,000	27,500

Source: Filing, p. 15.

The Companies currently evaluate and measure their programs using in-house resources, but plan to seek external support during the periods of April 1, 2022 – March 31, 2023, and April 1, 2023 – March 31, 2024, which are Rate Year 3 and the Stayout Period, respectively, under the Companies current rate plan.[13] In order to authenticate current methodologies used to determine baselines and Peak Day and Peak Hour gas reductions, the Companies plan to use an external consultant-led regression-based analysis. The Companies also plan to use outside sources to provide a comparative analysis of different baseline evaluation methods for commercial, industrial, and multi-family programs.

The Companies propose budgets for the Load Shedding DR Program, the BYOT Program, and the Behavioral DR Program. The Load Shifting DR Program will continue, but the Companies propose to recover the costs through the Demand Response O&M Component of the Delivery Rate Adjustment as provided for in the Joint Proposal and adopted in the Rate Order.[14] In the Filing, the Companies seek approval to recover non-labor costs associated with the Load Shedding, BYOT, and Behavioral DR Programs for the 2023-2024 heating season through the DCSM. KEDNY projects non-labor costs of $5,356,400, corresponding to

[13] Rate Order, Attachment 1 (Joint Proposal), p. 8.

[14] Rate Order, Attachment 1 (Joint Proposal), p. 74.

demand-day savings of 11,360 Dth and demand-hour savings of 1,285 Dth. KEDLI projects non-labor costs of $2,295,600, corresponding to demand-day savings of 4,865 Dth and demand-hour savings of 550 Dth.

Electrification

The Companies continue to support heating electrification programs operated by electric distribution companies in their service territories through the Companies' lead referral process. The Companies are on track to satisfy the referral targets for 2022 set forth in the Joint Proposal and adopted in the Rate Order. The Companies do not request funding or approvals related to electrification referrals in this filing.

Third-Party Solutions

The Companies issued one RFP for an NPA project (also referred to as a Third-Party Solution) in 2021, but did not select a project. At the time of filing, the Companies anticipated issuing two more RFPs for Third-Party Solutions in July 2022. The Companies do not request funding or approvals for Third-Party Solutions in this filing.

Cost Recovery

The Rate Order provides for recovery of the EE and DR costs through the DCSM. Pursuant to the Rate Order, the surcharge effective July 1, 2023, would include 50 percent of the estimated EE and DR program costs for the Stayout Period and remaining unrecovered costs from the prior year. As stated previously, instead of recovering the 2024 EE programs cost through the DCSM, the Companies propose to use the unspent funds from the prior year to offset the RY 2024 EE program costs. The

DCSM Surcharge would result in monthly total bill reductions of 0.58 percent and 0.81 percent for an average residential customer of KEDNY and KEDLI, respectively.

Capacity Demand Metrics

The Rate Order established five weighted Capacity Demand Metrics that the Companies must meet to fully recover the costs of long-term capacity projects during the rate plan. The Companies are required to submit quarterly reports documenting their performance in meeting the Capacity Demand Metrics.

In the Filing, the Companies propose an updated methodology for calculating the Capacity Demand Metric for EE. The Companies propose to calculate this metric for calendar year 2023 by adjusting the 2023 savings target authorized in the NE:NY Order by the Companies' under- or over-performance relative to both NE:NY targets in prior years and the 2022 EE capacity demand metric, and dividing the total by the number of years remaining in the NE:NY period. The Companies state that the 2022 EE Capacity Demand Metric set by the Commission was substantially higher than the savings they projected their programs would be able to achieve, and that their proposed methodology for 2023 would result in a target that would be challenging but possible to meet. The Companies do not propose any changes to the Capacity Demand Metrics related to DR, Electrification, and Third-Party Solutions.

NOTICE OF PROPOSED RULE MAKING

Pursuant to the State Administrative Procedure Act (SAPA) §202(1), a Notice of Proposed Rulemaking was published in the State Register on October 19, 2022 [SAPA No. 19-G-0309SP5]. The time for submission of comments pursuant to the Notice expired on December 19, 2022. No comments were received.

DISCUSSION

EE Programs and EE Capacity Demand Metric

The Commission agrees with the Companies' proposal to prioritize weatherization programs within their EE portfolios. Doing so will help to address the forecasted gap between gas supply and demand within their service territories. In their recent filing regarding the proposed Vaporizers 13 & 14 project,[15] the Companies noted changes in their peak demand forecast, which may push out the forecasted date of a gap between supply and demand. Prioritizing weatherization programs presents an opportunity to shift the forecasted date of a potential gap between supply and demand further into the future. Furthermore, it is consistent with the broader direction for EE portfolios that the Commission indicated in the 2020 NE:NY Order and is contemplating with renewed attention in the NE:NY Interim Review. The Commission especially supports the Companies' proposal to make use of previously collected, unspent EE funds and projected unspent EE funds to pay for its weatherization programs. This use is consistent with the use of unspent energy efficiency funds previously authorized by the Commission.[16]

When the Companies proposed the DSM weatherization programs in the 2021 Annual DSM Filing, they stressed that these programs would need to scale up rapidly to address peak-day and peak-hour capacity constraints. The Commission does not see evidence that the Companies have taken the necessary steps to achieve this rapid deployment. The Companies project that as of

[15] Cases 19-G-0309 and 19-G-0310, Greenpoint Vaporizers 13 & 14 Long Term Capacity Project Report (filed August 29, 2022), p. 20.

[16] On page 66 of the 2020 NE:NY Order, the Commission stated that it "expects that all available uncommitted and unspent utility energy efficiency funds will be used to mitigate the impacts of the portfolio budgets authorized here."

December 31, 2022, they will have spent only around half of the accelerated NE:NY funds they budgeted for weatherization programs in 2022, corresponding to the 50 percent of forecasted EE DSM expenditures they were authorized to collect through the DCSM in 2022. Moreover, the Companies have consistently spent less than their annual NE:NY budgets collected through base rates, resulting in balances of unspent NE:NY funds, as of November 30, 2022, of $19,046,536 and $14,369,906 for KEDNY and KEDLI, respectively.

In the Filing, the Companies express concern that the EE portfolio budgets and targets authorized by the Commission in the NE:NY proceeding may not accommodate the much higher cost per unit savings that the Companies currently project for their weatherization programs. The Companies' substantial balance of previously collected but unspent NE:NY funds should mitigate this concern to some degree. In each year of the NE:NY period, the Companies have achieved their energy savings targets without depleting their authorized annual budgets. While the run rates for weatherization programs projected by the Companies far exceed the average run rates built into the budgets and targets authorized in the 2020 NE:NY Order, the Commission emphasizes that the Companies have not yet taken full advantage of the flexibility that already exists within those budgets and targets to pursue a combination of less expensive and more expensive savings. Furthermore, the costs of weatherization programs cited by the Companies are projections, which can only be corroborated by more extensive program deployment. In the NE:NY Interim Review, the Commission may consider whether it is appropriate to realign budgets and targets to encourage utilities to pursue the deeper, more expensive energy savings associated with building weatherization. Until that point, without a stronger record of deploying NE:NY funds to

weatherization programs and demonstration of the higher cost of weatherization programs, the Commission does not find National Grid's case for such realignment compelling.

Finally, the Commission approves the Companies' proposed methodology for calculating the EE Capacity Demand Metric. The Commission set the 2022 EE Capacity Demand Metric based on the Companies' planned expenditures related to the EE programs described in the 2021 Annual DSM Filing. The Commission understood the ambitiousness of the Companies' planned expenditures on weatherization programs to match the magnitude and the urgency of the work required to avert a gas supply shortfall in future winter seasons. The 2023 savings target resulting from the Companies' proposed methodology represents a more modest acceleration of the Companies' NE:NY savings achievement than the Capacity Demand Metric set in 2022. Setting the EE Capacity Demand Metric as proposed by the Companies would not reduce the amount of savings to be achieved, but simply distribute it over the remaining years of the NE:NY period (through 2025). Given the Companies' dramatic underperformance on DSM EE programs relative to their stated ambitions, this redistributed target better matches the Companies' current trajectory while still remaining a meaningful marker of the Companies' efforts to realize the EE components of the Distributed Infrastructure Solution. However, the Commission may revisit the EE Capacity Demand Metric calculations in future years if the mechanism remains in place beyond the term of the current rate plan.

Demand Response

The Companies have operated Firm DR Programs to reduce customer gas consumption during Event Days since 2019. For gas service areas that are experiencing system-wide gas supply

constraints, the reduction in gas usage from DR customers improves the gas utility's ability to maintain system reliability for firm customers while mitigating the need for additional supply or infrastructure. These reductions can also allow the utility to serve additional customer connection requests.

For consecutive seasons, the programs have shown success in reducing peak period and peak day usage. The Load Shedding Program saw an enrollment increase from 156 customers committed to reducing Design Day gas consumption by 17,790 dekatherms per day (Dths/D) in 2020/2021 winter heating season to 201 customers committed to reducing Design Day gas consumption by 21,115 Dths/D for the 2021/2022 winter heating season. The 2021/2022 season was the first season for the Load Shifting Program. A total of 28 customers enrolled with a load commitment of 184 Dths/Hour.

At the close of the 2021/2022 winter heating season, approximately 6,500 thermostat devices were enrolled in the BYOT Program, an increase of approximately 189 percent over the 2,251 devices enrolled during the 2020/2021 winter heating season. The Companies did report that there continued to be a high number of customer opt-outs over the course of the four-hour event windows. To address this issue, the Companies made two modifications to the BYOT Program for the 2022/2023 winter heating season based on inputs from internal planning and engineering teams. First, the event window hours for the evening peak have been modified to run from 5 p.m. – 9 p.m. to 4 p.m. – 8 p.m. Second, the duration of events called under the BYOT Program has been modified from the fixed four-hour duration to a duration of up to four hours to provide flexibility in

event length durations. These modifications were approved by the Commission in the October 2022 DR Order.[17]

The role of DR programs is to provide net benefits to customers. The Companies have been able to operate their Firm DR Programs in a cost-effective manner and expect to continue to do so. The Commission agrees that growth of the DR programs requires support for implementing and managing programs, tracking performance, and monitoring and evaluating data to maintain improvement. The Commission finds the request to authorize the Companies to recover through the DCSM the cost of implementing the 2022-2023 demand response programs persuasive.

The Commission orders:

1. The proposals in the Annual Demand-Side Management Filing of The Brooklyn Union Gas Company d/b/a National Grid NY and KeySpan Gas East Corporation d/b/a National Grid are approved consistent with the discussion in the body of this Order.

2. These proceedings are continued.

By the Commission,

(SIGNED) MICHELLE L. PHILLIPS
Secretary

[17] October 2022 DR Order, pp. 18-19.

IR Response

Date of Request: December 8, 2022 Request No. DPS-DSM22-01
Due Date: December 19, 2022 NG Request No. n/a

The Brooklyn Union Gas Company d/b/a National Grid
Keyspan Gas East Corporation d/b/a National Grid
Cases 19-G-0309 & 19-G-0310

2021 Demand-Side Management Filing

Request for Information

FROM: Kate Overacker

TO: National Grid

SUBJECT: Annual Demand Side Management Filing

Request:

In all interrogatories, any requests for workpapers or supporting calculations shall be construed as requesting any Word, Excel, or other computer spreadsheet models in original electronic format with all formulae intact and unlocked.

Regarding the July 15, 2022 Annual Demand-Side Management (DSM) Filing in Cases 19-G-0309 and 19-G-0310, for each Company, provide the following additional information regarding the bill impacts and the Demand Capacity Surcharge Mechanism (DCSM) surcharge:

1) The workpapers used to develop the bill impacts and the DCSM surcharge as shown in the annual DSM filing dated July 15, 2022.

2) The workpapers requested above updated to reflect actuals through November 30, 2022.

3) Workpapers providing an accounting of both the underspent New Efficiency New York ("NE:NY") funds collected through rates and the underspent funds collected through the DCSM and how the Companies intend to allocate those unspent funds for the RY3 weatherization activities described in the DSM filing.

4) Actual expenditures related to the energy efficiency weatherization programs described in the DSM filing from April 1, 2022 through November 30, 2022.

5) Estimated expenditures related to the energy efficiency weatherization programs described in the DSM filing from December 1, 2022 through March 31, 2023.

6) A forecast of expected energy efficiency weatherization and electrification-supporting spending by calendar year and rate year from April 1, 2023 through December 31, 2025.

Response:

1) Please see Attachment 1 (KEDNY) and Attachment 2 (KEDLI) for the workpapers used to develop the estimated bill impacts and DCSM surcharge as shown in The Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corporation d/b/a National Grid ("KEDLI") (collectively, "Companies") DSM filing dated July 15, 2022.

2) Please see Attachment 3 (KEDNY) and Attachment 4 (KEDLI) for the workpapers used to develop the estimated bill impacts and DCSM surcharge as shown in Companies July 15, 2022 Annual DSM filing, as updated to reflect actuals through November 30, 2022.

3) Please see Attachment 5 for an accounting of the levels in remaining NE:NY funds collected through rates and the DCSM and an accounting of how the Companies intend to allocate the unspent funds to Weatherization Program activities.

   Projections show that Weatherization Program costs through end of calendar year 2022 will amount to approximately fifty percent of planned Fiscal Year 2023 spend that is currently being recovered through the Demand Capacity Surcharge Mechanism ("DCSM") with rates effective July 1, 2022. Therefore, a DCSM surcharge for the remaining fifty percent of the Energy Efficiency ("EE") component will not be collected through the DCSM rate effective July 1, 2023, for Fiscal Year 2023 program costs.

   Further, since the submittal of the October 2021 DSM Filing and March 2022 update, the Commission has confirmed that the Companies may utilize unspent Energy Efficiency funds from prior years to offset Weatherization Program costs as part of the Company's overall EE portfolio. Therefore, the Companies also will not seek to recover Energy Efficiency Weatherization program costs for January through March of 2023 and Fiscal Year 2024 through the DCSM. These Weatherization Program costs will be covered by NE:NY budget and unspent NE:NY funds.

   For a discussion of the Companies' Weatherization Program performance and strategies the Company has undertaken to increase program uptake, please refer to the Companies' most recent SEEP filings in Case 18-M-0084. *See* Case 18-M-0084, *In the Matter of a Comprehensive Energy Efficiency Initiative*, KeySpan Gas East Corporation d/b/a National Grid System Energy Efficiency Plan ("SEEP") (filed October 31, 2022) at pages 22-26, and The Brooklyn Union Gas Company d/b/a National Grid NY System Energy Efficiency Plan ("SEEP") (filed October 31, 2022) at pages 21-25.

4) The actual expenditures related to the Energy Efficiency Weatherization Programs described in the DSM filing from April 1, 2022 through November 30, 2022 are $6,456,635 for KEDNY and $6,269,254 for KEDLI.

5) The Companies' current forecast of expenditures from December 1, 2022 through March 31, 2023 is $12,206,395 for KEDNY and $11,032,682 for KEDLI.

6) Please see Table 1, below, for a forecast of expected Energy Efficiency Weatherization spending by calendar year and rate year from April 1, 2023 through December 31, 2025. The forecasts below are planned spend for the Companies' Weatherization Programs which serve Residential, Commercial and Industrial ("C&I") and Multifamily customers. The program budgets below do not include LMI programs with a weatherization component, such as Empower and KEDLI Heat, which are tracked separately and for which funding was not requested through the Companies' DSM Filings. The Companies' electrification referral programs currently rely on existing FTE resources and do not have associated program spending.

This is the Company's current forecast, and updates and supplants the numbers in Table 1 of the DSM filing submitted on July 15, 2022 which contained an error in the Total Weatherization Budget. The values contained in Table 1, "2023 Weatherization Program Spend in Relation to NE:NY Portfolio" in the July 15, 2022 DSM filing were intended to align with the planned 2023 budgets presented in the Companies' System Energy Efficiency Plans ("SEEPs") also filed on July 15, 2022, rather than $14,655,501 for each company as noted in the DSM filing.

Table 1

Calendar Year Budget Estimates

Weatherization Program Spend	Total 2023 (January1st, 2023 through December 31st 2023)	Total 2024 (January1st, 2024 through December 31st 2024)	Total 2025 (January1st, 2025 through December 31st 2025)
KEDLI Total	$12,937,249	$16,237,828	$19,400,782
KEDNY Total	$15,812,061	$19,737,179	$24,558,474

Note: For Weatherization Programs Only. This includes the planned evaluation and administration costs planned for Weatherization Programs (a portion of the total evaluation and administration portfolio costs).

Rate Year / Fiscal Year Budget Estimates

Weatherization Program Spend	FY24 (April 1st, 2023 through March 31st 2024)	FY25 (April 1st, 2024 through March 31st 2025)	FY26 (April 1st, 2025 through March 31st 2026)
KEDLI Total	$11,375,618	$17,028,566	$20,191,521
KEDNY Total	$14,078,838	$20,942,502	$25,763,797

Note: For Weatherization Programs Only. This includes the planned evaluation and administration costs planned for Weatherization Programs (a portion of the total evaluation and administration portfolio costs). For FY26, expenditures for January through March in 2026 were estimated based on previous year over year increases which is a conservative growth estimate. It's an estimate due to approved budgets not yet being available past CY2025.

Name of Respondent:
Melissa Barnes
Sara Robarge-Trombley

Date of Reply:
December 19, 2022